

Chapter #6

Q Define intellectual property?

⇒ Intellectual property is an intangible and created asset that has legal protection from unauthorized use, distribution or sale.

⇒ It refers to any / Includes:

1. Patents
2. Trademarks
3. Copyrights
4. Trade secrets

⇒ Represents important assets to the entrepreneurs.

⇒ Should be understood even before engaging the services of an attorney.

⇒ Must be protected from un-authorized use.

There are four ways to protect IP:

1. Patents on inventions.
2. Trademarks on Branding Devices.
3. Copyrights on music, videos, patterns, ^{Forms of expression}
4. Trade secrets for ^{Methods/ Formulas} with economic value.

1. Patents

- ⇒ Contract b/w the government and an inventor
- ⇒ Inventor holds protection from others making, using or selling a similar idea.
- ⇒ A patent is like a special permission slip from the government that protects an inventor's idea.
- ⇒ It stops others from copying, using, or selling the same idea without permission.
- ⇒ When someone invents something new and wants to protect it, they can apply for a patent.
- ⇒ In exchange for telling the government all about their invention, the government gives them exclusive rights to it for a certain amount of time.
- ⇒ After that time is up, the government shares the invention with everyone, and it becomes free for anyone to use.
- ⇒ This can inspire new ideas and even better original inventions that might replace the original one.

examples

- o Inventing a shatterproof smartphone screen.
- o Patent protects the screen idea for a certain period (e.g., 20 years).
- o During that time, only the inventor can decide who can use this idea.
- o After the patent expires, anyone can use the idea freely.

Types of patent

1. Utility patent
2. Design patent
3. Plant patent

Utility Patents:

⇒ Protects new and useful inventions such as:

- o Processes - how something done / methods
- o Machines - Photocopiers / machinery
- o Chemicals -
- o Articles of Manufacture - toothpaste pump

⇒ Utility patents last for 20 years.

Ex:

- Fiber optics
- Computer hardware

Design patents

⇒ These protect the unique and decorative appearance of a product, like its shape or surface design. Overall aesthetic means they protect the visual aspects of a product.

⇒ They last for 14 years.

Example:

- Apple has design patents for the distinctive appearance of its iPhone and MacBook models.

Note:

- They do not protect how an item works or what it's made of, but rather how it looks.

3. Plant Patents:

⇒ These are for new varieties of plants and are granted under similar rules as utility patents.

⇒ Plant patents are rare because they cover specific new types of plants.

⇒ Represent a limited area of interest.

⇒ Very few of these types of patents are issued.

Example:

- Hybrid tea roses
- Certain types of corn like Silver Queen
- Tomatoes like Better Boy.

International Patents

⇒ Refers to patents that are granted or protected across multiple countries or jurisdictions.

⇒ Provide inventors with exclusive rights to their inventions in various countries.

⇒ There are several ways to obtain international patent protection:

- National Patent Applications
- Regional patent systems
- International Patent Cooperation Treaty (PCT).

2. Trademarks

⇒ A trademark is a special word, name or symbol used to identify a product.

⇒ Unlike patents, trademarks can be renewed forever as long as they are still used in business.

⇒ Given an initial 10 years registration.

Categories of TM

1. Coined marks

- These are made-up words with no connection to the product or service.
- Can be used for wide range of products.

Ex:

- "Kodak" for cameras.

2. Arbitrary marks

- These are real words with a known meaning, but when applied to a product, they have no relation to it.

Ex:

- "Apple" for computers and electronics.

3. Suggestive marks

⇒ These marks suggest qualities or features of the product without directly describing it.

Ex:

- "Clean & Clear" for skin care products.
- "Fair & Lovely" for skin.

4. Descriptive marks

⇒ Directly describe the product or service they represent.

Ex:

- "Rubexoid" for roofing materials that contain rubber.

3. Copyrights:

- Copyrights give creators the right to control how their original works are used.
- Preventing others from printing, copying or publishing their works without permission.
- Copyright does not protect the idea itself.
- Allows someone else to use the idea or concept in a different manner.
- Copyright law has become important with the rise of the internet.
- People can easily download and share copyrighted material online leading to legal issues.
- Can be on: / Protects various forms of creative work:
 - Articles, music, Poems, scripts
 - Books, songs, Data & music.

Example:

- Someone writes a song owns the rights to that specific song.

preventing others from copying or using it without permission.

⇒ However, others can still use similar ideas or themes in their own original works.

4. Licensing

Defn:

⇒ Licensing is like giving someone permission to use your special idea or creation in exchange of money.

⇒ It is bit like renting out your intellectual property.

Who involved?

⇒ It involves two parties.

- The owner of the intellectual property called licensor.

- The person or company who wants to use it called licensee.

What gets licensed?

⇒ Could be:

- inventions
- Brand names
- Logos
- Creative works

These are protected by patents, trademarks or copyrights.

Agreements

◦ Licensor gives the permission to the licensee to use intellectual property.

◦ In return, the licensee pays a fee or royalty payments to the licensor.

Ex:

⇒ For instance, a company that owns a patent for a new technology to ~~us~~ might license that technology to another company, allowing them to use their products.

⇒ In return, the licensee pays the licensor a fee for the right to use the patented technology.

⇒ it is a win-win:

- The licensor makes money
- The licensee gets to use a valuable creation.

Types of Licensing

1. Patent License Agreement:

⇒ These agreements decide how someone use a patented invention.

⇒ They might allow the licensee to either just sell a product or also make and sell it.

ex:

◦ Telecommunication companies may license patents to use certain technologies in their products.

- Food franchises.

2. Trademark License Agreements:

⇒ Are like renting a brand name.

⇒ The entrepreneur runs a business using a trademark and pays a fee for its use.

⇒ They might pay a fixed fee, a percentage of sales, and buy supplies from the trademark owner.

Ex:

° Franchisees of companies like Shell, Pepsi, or Coca-Cola operate business under these brand names and pay fees for using their trademark.

3. Copyright License agreements:

⇒ Involve the rights to use or copy creative works like books, software, music, photographs, or plays, music etc.

⇒ They allow others to use the copyrighted material in exchange for payment.

ex: A company might pay to use a popular song in their commercial.

Q. Define patent infringement?

⇒ Patent infringement is the unlawful use, selling or copying of a patented invention.

⇒ Many businesses, inventions or innovations are results of improvements on, or modifications of, existing products.

⇒ Copying and improving on a product may be perfectly legal and a good business strategy.

⇒ Patent infringement occurs when someone uses, sells, makes or offers to sell a patented invention without the permission of the patent holder.

⇒ it is like using someone else patented idea without their approval.

⇒ if someone else uses the patent invention rather than owner's permission, they are infringing on the patent owner's rights.

⇒ It is a serious matter in the world of intellectual property law, as it undermines the rights of inventors and can harm their ability to profit from their creations.

⇒ Products can be licensed from the patent holder.

⇒ If patent infringement is unavoidable, the entrepreneurs may try to license the product from the patent holder.

⇒ It is advisable to hire a patent attorney to ensure there is no possibility of infringement.

Types of patent infringement

- Direct infringement
- Indirect infringement
- Induced infringement
- Literal infringement

Example:

Company A invents a smartphone with the same feature without permission, infringing on Company A's patent.

⇒ Patent holders can seek damages or injunctions to stop the infringing activity.